

Liquor Act, 1974

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Liquor Act, 2031

Royal Seal and Date of Publication

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Amending Acts

1. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.07.24
2. Judicial Administration Act, 2048 2048.02.16
3. Liquor (First Amendment) Act, 2057 2057.10.04

Certification and Date of Publication

4. Republic Strengthening and Some Nepal Laws This Act came into effect from Jestha 15, 2065. Amendment Act, 2066 2066.10.07
5. Some Nepal Acts Amendment Act, 2072 2072.11.13
6. Finance Act, 2075 2075.03.32
7. Finance Act, 2080 2080.03.31
8. Finance Act, 2081 2081.04.01
9. Finance Act, 2082 2082.03.30

Act No. 10 of the year 2031

An Act Made to Regulate Liquor

Preamble: Whereas it is desirable to regulate the production, sale, distribution, export and import of liquor in order to maintain the morality, health, convenience and economic interest of the general public,

This Act is hereby enacted by His Majesty King Birendra Bir Bikram Shah Dev, with the advice and consent of the National Panchayat. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Liquor Act, 2031".

(2) This Act shall apply throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

Amended by the Finance Act, 2082.(a) "Liquor" means any substance containing more than zero point five percent alcohol prepared by fermenting or in any other manner through a biochemical process from grain, fruit or any other starchy substance, and the term also includes liquor, jaand, chhyang, whiskey, rum, gin, brandy, vodka, beer, wine, sherry, champagne, cider, perry, mead, malt liquor, sake, soju, vermouth, liquor-mixed prepared beverages, industrial alcohol, rectified spirit, malt spirit, silent spirit, denatured spirit, E.N.A. and heads spirit. Added by the Finance Act, 2075.(b) "Production" means the fermentation, heating,

cooking of substances necessary for preparing liquor, or the mixing of anything to impart aroma or flavor to such substance, or any method or action adopted for preparing liquor.

Added by the Finance Act, 2075.(c) "License" means a license granted pursuant to Section 6A for the production, sale, distribution, export or import of liquor. (c1) "Excise Officer" means an officer designated under the prevailing law relating to excise. (c2) "Producer" means a person, firm, company or institution that has obtained a license to produce liquor. (c3) "Person" means any individual, establishment, association, partnership firm, cooperative, joint venture, director of a trust or fund, proprietor, or agent acting as principal, and the term also includes an entity engaged in the production or import of liquor and its wholesale or retail or any form of sale or distribution, whether for profit or not, and any branch, sub-branch or other similar place of transaction of such entity. (c4) "Import" means bringing liquor into Nepal from abroad in accordance with the prevailing law. (c5) "Department" means the Inland Revenue Department. (d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. 3. Control on Production of Liquor: No person shall produce liquor without a license, and even a person who has obtained a license shall not produce liquor otherwise than in accordance with the conditions specified in the license. Added by the Finance Act, 2081.3A. Provisions relating to Local Liquor: Provisions relating to the production, branding and regulation of local liquor shall be as prescribed. 4. Control on Sale and Distribution of Liquor: No person shall sell, distribute liquor or open a bar, restaurant or shop serving liquor without a license, and even a person who has obtained a license shall not do so otherwise than in accordance with the conditions specified in the license. Added by the First Amendment.4A. Prohibition on Production and Sale/Distribution of Liquor: (1) No person shall produce or sell or distribute liquor by keeping it in plastic pouches. (2) No person shall sell or distribute liquor to any person who has not completed the age of eighteen years. (3) No person who has not completed the age of eighteen years shall sell or distribute liquor. 5. Control on Export and Import of Liquor: No person shall export or import liquor without a license, and even a person who has obtained a license shall not do so otherwise than in accordance with the conditions specified in the license. Amended by the Finance Act, 2075.6.

License Required: No person shall produce, Amended by the Finance Act, 2080.import, export, sell or store liquor without obtaining a license under the Excise Act, 2058 or the Excise Rules, 2059. Added by the First Amendment.6A. License to be Granted: Upon receipt of an application for a license under Section 6, the prescribed officer shall make necessary inquiry into such application, and if upon such inquiry it appears proper to grant the license to the applicant, the officer shall, subject to the conditions prescribed, grant a license in the prescribed format for the production, sale, distribution, export or import of liquor upon collection of the prescribed fee. Provided that a license shall not be granted to any person who has not completed the age of eighteen years. 6B. Term and Renewal of License: Provisions relating to the term of a license and the renewal fee shall be as prescribed. 6C. Power to Cancel License: The prescribed officer may cancel a license granted pursuant to Section 6A in the following circumstances:- (a) if the license is not renewed, (b) if the conditions specified in the license are violated, (c) if any act contrary to Section 4A is done. 7. Situations Where Not Applicable: Notwithstanding anything contained in other sections of this Act, no license under this Act shall be required for making liquor or jaand in the prescribed quantity for private use. Amended by the First Amendment.8.

Power to Search, Seize or Arrest: (1) If there is reasonable cause to believe that an offence punishable under this Act has been committed at any place, an Excise Officer may search such place. (2) While conducting a search under Sub-section (1), the Excise Officer shall conduct the search only after informing the owner of the place being searched or the person currently using such place of the reason for the search before

entering that place. (3) If during a search under Sub-section (2), credible cause for an offence punishable under this Act is found, the goods related to such offence may be seized. (4) If the Excise Officer has reason to believe that any person has committed or is about to commit an offence punishable under this Act and that such person is likely to abscond if not arrested, the Excise Officer may arrest such person. (5) While conducting a search, seizure or arrest under this Section, the Excise Officer shall have the same powers as a police officer under the prevailing law. (6) The Excise Officer shall conduct a search, seizure or arrest under this Section in the presence of a local representative. (7) Other procedures to be followed by the Excise Officer while conducting a search, seizure or arrest under this Section shall be as prescribed. 9. Report of Arrest and Seizure to be Submitted: Upon arresting any person or searching any place or seizing any goods under this Act, the Excise Officer shall, within twenty-four hours, send a report thereof by the quickest means to the officer one level above him. 10. Amount Payable to Government of Nepal to be Realized as Government Due: If any person fails to pay or deposit any amount payable to the Government of Nepal under this Act or the rules made under this Act, the Excise Officer shall realize such amount from such person as a government due. Amended by the First Amendment.11.

Punishment for Search, Seizure or Arrest with Malicious Intent: If any person, without reasonable suspicion that an act against this Act has been committed, with the intent to cause trouble, harassment, disgrace or damage to another, enters or causes to enter any place, searches or causes to search, arrests or causes to arrest any person, seizes or causes to seize goods not liable to seizure or confiscation, or causes or causes to cause unnecessary damage or injury to any person, such person shall be liable to imprisonment for a term up to six months or a fine up to one hundred thousand rupees or both. Amended by the Finance Act, 2075.12. Punishment: (1) If any person commits the following offences, the value of the goods (bigo) shall be confiscated and such person shall be liable to a fine equivalent to the value of the goods (bigo) or imprisonment for a term up to one year or both:- (a) if excise duty payable on liquor under the Excise Act, 2058 is suppressed, concealed or evaded, (b) if liquor is produced or Amended by the Finance Act, 2080.exported or imported without a license, (c) if any person commits any offence against this Act by preparing false accounts or forged documents. (2) If any person attempts or abets the commission of an offence referred to in Clause (a), (b) or (c) of Sub-section (1), such person shall be liable to half the punishment mentioned in that Sub-section. (3) Vessels, utensils, materials, or any equipment, machinery or vehicle used directly or indirectly in connection with the commission of the offence shall also be confiscated. Provided that if the person committing the offence used a vehicle without the consent of the vehicle owner, such vehicle shall not be confiscated, and the vehicle owner shall be fined twenty-five thousand rupees, and the driver shall, depending on the nature of the offence, be liable to imprisonment for a term up to three months or a fine up to fifteen thousand rupees or both. (4) Notwithstanding anything contained in Sub-section (3), if such vehicle is registered as a rental vehicle and is found to have been used with the involvement of the vehicle owner, such vehicle shall be confiscated. Amended by the First Amendment.13.

Confiscation and Sale of Liquor and Other Goods: (1) If any person produces, sells, distributes, exports or imports liquor contrary to this Act, the Excise Officer shall confiscate the liquor related to such act. (2) Of the liquor confiscated under Sub-section (1), the Excise Officer shall sell by auction the quality liquor as prescribed. (3) The Excise Officer shall confiscate all goods used for dealing in liquor contrary to this Act and sell them by auction as prescribed. Provided that in the case of a vehicle, if the consent of the vehicle owner was not obtained, such vehicle shall not be confiscated. Added by the First Amendment.13A. Assistance to be Provided: It shall be the duty of the concerned person to provide necessary assistance when requested by an Excise Officer or an employee authorized by him in the course of investigation of an offence punishable under this Act. 14. Authority to Hear Cases: (1) The authority to initiate proceedings and adjudicate cases

under Section 11 shall vest in the Government of Nepal or an officer designated by the Government of Nepal, and the authority to initiate proceedings and adjudicate other cases under this Act shall vest in the Excise Officer. (2) The authority to initiate proceedings and adjudicate under Sub-section (1) shall have the same powers as a District Court under the prevailing Nepal law. Amended by the Finance Act, 2075.15. Appeal: (1) An appeal against a decision made by an Excise Officer under this Act shall lie to the Revenue Tribunal, and an appeal against a decision made by an officer designated by the Government of Nepal shall lie to the concerned High Court. (2) A person filing an appeal under Sub-section (1) shall, within fifteen days of filing the appeal, register a copy of the appeal at the concerned office. Added by the First Amendment.15A.

Reward: (1) If any person gives information or presents evidence including persons or goods regarding any intended or actual production, storage, sale, distribution, transportation, export or import of liquor contrary to this Act, and if such act is proven, such person shall be given a reward as follows:- (a) for the informant: ten percent of the value of the goods (bigo), (b) for the person presenting liquor or persons: twenty percent of the value of the goods (bigo), (c) for the person presenting both liquor and persons: thirty percent of the value of the goods (bigo). (2) For the purpose of providing a reward under Sub-section (1), if the confiscated liquor and related goods are auctioned, the amount received from the auction shall be deemed to be the value of the goods (bigo). (3) If for any reason the confiscated liquor or goods cannot be auctioned or are not to be auctioned, the Government of Nepal may, as a reward, give an amount it deems appropriate to the person giving such information or presenting evidence including persons. (4) If there is more than one person entitled to a reward under this Section, the reward amount shall be distributed equally. 16. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act. Amended by the Finance Act, 2075.17. To be According to Prevailing Law: Notwithstanding anything contained in this Act, provisions relating to licenses, raw materials for liquor, production, extraction, recovery rate, establishment and fees concerning liquor administration shall be according to other prevailing Nepal laws. 18. This Act to Prevail: Matters provided for in this Act shall be according to this Act, and except as provided in Section 17, the prevailing Nepal laws inconsistent with this Act shall, to the extent of such inconsistency, be deemed to have been repealed for the purposes of this Act.